Reg. No									

St. Joseph's College of Arts& Science (Autonomous)

St. Joseph's College Road, Cuddalore–607001

CM305Q - CORPORATE ACCOUNTING – I

Time: 3 hrs **Max Marks: 75**

SECTION- A (10x2=20)

Answer ALL the questions

1. What is a company under the companies act, 1956?
2. State the kinds of companies.
3. What do you mean issued capital by a company?
4. What are the different kinds of shares?
5. What are calls in arrears?
6. What is Section 80 and 80A of the companies Act?
7. What is interim dividend?
8. Who are all eligible to get managerial remuneration in companies under the Companies Act, 1956?
9. What is called purchase consideration?
10. What is net asset method of purchase consideration?

SECTION - B (5X5=25)

Answer Any FIVE Questions

11. Explain the salient features of a company.

12. Batliboi Co. Ltd., issued 50,000 equity shares of Rs. 10 each to the public on condition that full amount of shares will be paid in a lump sum. All these shares were taken up and paid by the public. Pass journal entries in the books of company when;
    (i) Shares are issued at par (ii) Shares are issued at a premium of 10% and
    (iii) Shares are issued at a discount of 10%.

13. The following extract from the balance sheet of Gayathri Co.Ltd., as on 31st Dec. 2008, is given to you;

Share Capital:	Rs.
2,00,000 Equity Shares of Rs. 10 each	20,00,000
3,00,000, 6% redeemable preference shares of Rs.10 each	30,00,000
Capital Reserve	15,00,000
General Reserve	9,00,000
Profit & Loss A/c	25,50,000

The company exercises its option to redeem the preference shares on 1st Jan.2009. The company has sufficient cash.

Give journal entries to record the redemption.

14. What are the contents of statement of profit and loss in final accounts of companies?

15. Ganguly Ltd. Was formed with an authorized capital of Rs. 12,00,000 divided into equity shares of Rs. 10 each, to acquire the business of 'A" and "B" whose balance sheet on the date of acquisition was as follows;

Liabilities	Rs.	Assets		Rs.
Capital	6,00,000	Freehold premises		7,00,000
General Reserve	4,00,000	Stock		2,00,000
Sundry Creditors	2,00,000	Sundry debtors	1,60,000	
		(-) Prov. For bad Debts	10,000	1,50,000
		Cash at bank		1,50,000
	12,00,000			12,00,000

The purchase consideration was agreed upon at Rs. 14,00,000 to be paid in R. 12,00,000 fully paid equity shares at Rs. 11 and the balance in cash.

Prepare the Balance Sheet of Ganguly Ltd., assuming the vendor's account is finally settled.

16. Pallav Ltd. has a share capital of 50,000 equity shares of Rs. 100 each. Market value is Rs. 250 per share. The company decides to make a rights issue to the existing shareholders in proportion of one new rights share of Rs. 100 at a premium of Rs. 30 per share. Calculate the value of right.

17. The Balance Sheet of Exchange Ltd., as on 31-3-2009 was as follows;

Liabilities	Rs.	Assets	Rs.
Share Capital:		Sundry Assets	9,20,000
50,000 Equity Shares of Rs.10 each, fully paid	5,00,000	Bank Balance	6,00,000
4,000 redeemable preference shares of Rs.100 each fully paid	4,00,000		
Profit and Loss A/c	5,20,000		
Creditors	1,00,000		
	15,20,000		15,20,000

On the above date, the preference shares were redeemed at a premium at a premium of 10%. You are required to prepare amended balance sheet.

SECTION - C (3X10=30)

Answer Any THREE Questions

18. Distinguish a private limited company from a public limited company.

19. XYZ Company Ltd. Invited applications for 20,000 shares of Rs. 100 each payable; Rs. 25 on application; Rs. 35 on allotment and Rs. 40 on call.

25,000 shares were applied for. The directors accepted applications for 20,000 shares and rejected the remaining applications. All moneys due were fully received. Give journal entries and show the balance sheet of the company.

20. Meenakshi Ltd., has an issued share capital of 650, 7% redeemable preference shares of Rs. 100 each and 4,500 equity shares of Rs. Rs. 50 each. The preference shares are redeemable at a premium of 71/2 %(seven and half) on April,1, 1992.

The company's balance sheet as on March 31, 1992 was as follows;

Liabilities	Rs.	Assets	Rs.
Share Capital			
Issued 650, 7% Redeemable preference shares of Rs. 100 each fully paid	65,000	Fixed assets	3,45,000
4,500 equity shares of Rs. 50 each fully paid	2,25,000	Investments	18,500
Profit & Loss A/c	48,000	Balance at Bank	31,000
Sundry Creditors	56,500		
	3,94,500		3,94,500

In order to facilitate the redemption of preference shares, the company decided;

(i) To sell all the investments for Rs. 16,000

(ii) To finance part of the redemption from company funds, subject to leaving a balance of Rs. 12,000 in the profit and loss account and

(iii) To issue sufficient equity shares of Rs. 50 each at a premium of Rs. 13 per share to raise the balance of funds required.

The preference shares were redeemed on the due and the issue of equity shares was fully subscribed.

You are required to prepare the balance sheet after completion of the redemption.

21. From the following information provided by MNC Ltd. for the year ended 31st March, 2014, calculate the overall (maximum) managerial remuneration.

	Rs.		R.
To Salaries and wages	65,000	By Gross profit	16,70,000
To Repairs	30,000	By Profit on sale of	1,70,000
To Depreciation (Including	1,10,000	Plant(Cost Rs. 3,00,000;	
development rebate Rs.		written down value Rs.	
15,000)	25,000	1,50,000, Amount realized	
To General Expenses	20,000	on sale Rs. 3,20,000)	40,000
To Loss on sale of investment	1,03,000	By Subsidy from	
To Scientific Research(now		Government	
laboratory set-up)	35,000		
To Donation to charitable			
institutions	35,000		
To Interest on debentures	15,000		
To Debenture Trustee			
remuneration	12,000		
To Directors fees	5,10,000		
To Income tax	5,10,000		
To Proposed dividend	4,10,000		
To Balance c/d			
	18,80,000		18,80,000

22. Marhall and Robert carrying on business in partnership, sharing profits and losses in the ratio of 2:1 wish to dissolve the firm and sell the firm and sell the business to a limited company on 31st Dec. 1998 when the firm's balance sheet stands as under;

Liabilities		Rs.	Assets	Rs.
Sundry Creditors		45,000	Cash at Bank	8,000
Reserve Fund		45,000	Sundry debtors	1,20,000
Capital accounts:			Stock	1,62,000
Marshall	1,40,000		Motor Vehicle	24,000
Robert	1,00,000	2,40,000	Furniture	16,000
		3,30,000		3,30,000

Nash Co.Ltd. was registered with an authorized capital of Rs. 6,00,000 in equity shares of Rs. 10 each to acquire the above business on the following terms;

(i) Goodwill is valued at Rs. 75,000.

(ii) Furniture and stock are revalued at Rs. 14,500 and Rs. 1,74,500 respectively

(iii) Debtors are subject to 5% provision.

Motor vehicle is not required by the company and Marshall takes over the same at an agreed valuation of Rs. 22,000.

The purchase price is satisfied by the issue of equity shares of Rs. 10 each at par.

Prepare the balance sheet of the company assuming that the same set of the books are continued.

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